

have fewer commitments but park funds in safe instruments as your risk-appetite goes down or responsibilities increase. Diversification doesn't end here. Within an asset class, select among instrument types. If it is debt, choose a mix of fixed deposits, fixed maturity plans (for tax benefits), small savings schemes and debt mutual funds. Equity investments are more complicated. If you are a daredevil investor in direct equity holdings, make sure your investments are not concentrated in a single company or industry. Sector diversification is important to tide over times when a whole industry faces a downturn. Buying too many mutual funds is diversification at its worse. You may own multiple funds that invest in the same industries or even the same companies. So do check the fund portfolio before investing.

MISTAKE NO. 3 STICKING TO THE SAME INVESTMENTS AT 25 AND 55

Invested and forgotten. The best of investments can give disastrous returns if they are not tweaked according to the changing investor profile or market movements.

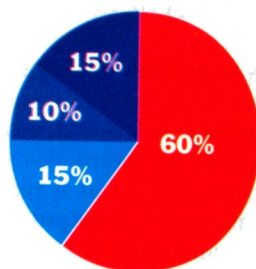
Happily invested ever after? Hardly possible. Invested money is in constant flux. Changing market moods require you to monitor the direction of your investments and make changes to keep them on track of your goals. These goals also change with time. So while at 30 saving for an overseas holiday is top priority, at 40 you will want to invest for your children's education. Just as these objectives change, so should your investment style. Some investment thumb rules do not change with age but there is a marked difference in investment strategy. Early in your career, it is best to go on an equity overdrive. Ideal equity to debt ratio is 70:30. The underlying assumption is

that at a young age you have no or few dependents and hence lesser responsibilities. Consequently, your risk-appetite is high. While this makes it easier to stomach losses, a jump in your returns will contribute handsomely to your ultimate corpus. Through the power of compounding, smaller amounts invested regularly from your 20s give impressive returns by the time you retire. At an older age,

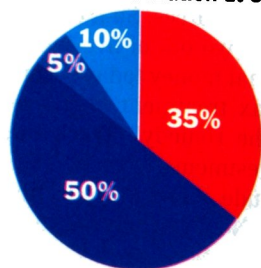
CHANGING COLOURS OF INVESTMENTS

Asset allocation should take into account your risk appetite. Rebalance or review your portfolio at least once a year.

Portfolio distribution at 25



Portfolio distribution at 55



■ Equity ■ Near cash and debt
■ Real estate ■ Insurance

exposure to equity should be gradually reduced. Shifting focus to fixed-income instruments ensures secure returns. This is the time when expenses peak and income surplus is at its lowest. Broadly, the equity to debt ratio should be 40:60 but actual asset allocation will be driven by factors such as medical expenses, children's education, marriage, etc. Don't sit on investments just because they gave great returns in the past.

MISTAKE NO. 4 TAKING INADEQUATE OR WRONG LIFE INSURANCE

Most Indians are very particular in taking an insurance policy, and most of them take the wrong one.

If your shirt size is 42 inches, would you buy one marked 38? We know someone who does that all the time. He's the average Indian buying an insurance policy. He doesn't care whether the policy fits him or what benefit he gets from it. All he's interested in is how much he will pay the insurance company because that will help reduce his I-T. Insurance policies should be bought according to the size and length of financial cover one needs, not the extent of tax rebate you can squeeze. If someone is the sole breadwinner, the insurance cover should create a corpus that earns enough to replace his income. Some financial planners say the cover should be 4-5 times the annual salary of the individual. Evaluate insurance needs with change in life stages, lifestyle and when getting into debts. For instance, take a term insurance plan when going in for a real estate purchase, especially if you are funding a large proportion of it with a home loan. Then there are riders available that can be added to your life policy which can widen the scope of cover to include risks against health emergencies and disability. Many investors buy traditional endowment and money-back insurance policies which promise a big corpus on maturity, not realising that the returns from such policies are a meagre 6-7 per cent. These are high-cost, low-cover policies. Term plans are the best form of insurance. You can get life cover for a very low premium. True, a term plan does not have a maturity value, but the savings from the lower premium can be invested in a more lucrative investment option. If you want a second in-

